

Section 3

Contract Management

Contract Types

Types of Contract

- Negotiation of price is meaningless unless that price is related to the type of contract
- The buyer **MUST** prepare different price objectives for **DIFFERENT** contract types

Prospective VS Retroactive Contract

- **Prospective Contract:**

Prices are determined in the initial contract, and prices cannot be changed

- **Retroactive Contract:**

Prices reflect the contractor's costs incurred in executing the contract, and are calculated after the work is completed

CONTRACT TYPES

- **Fixed Price:**
 - Firm Fixed Price
 - Fixed Price with Economic Price Adjustment/Escalation
 - Fixed Price Incentive
 - Indefinite Delivery Type (Indefinite Quantity Indefinite Delivery)

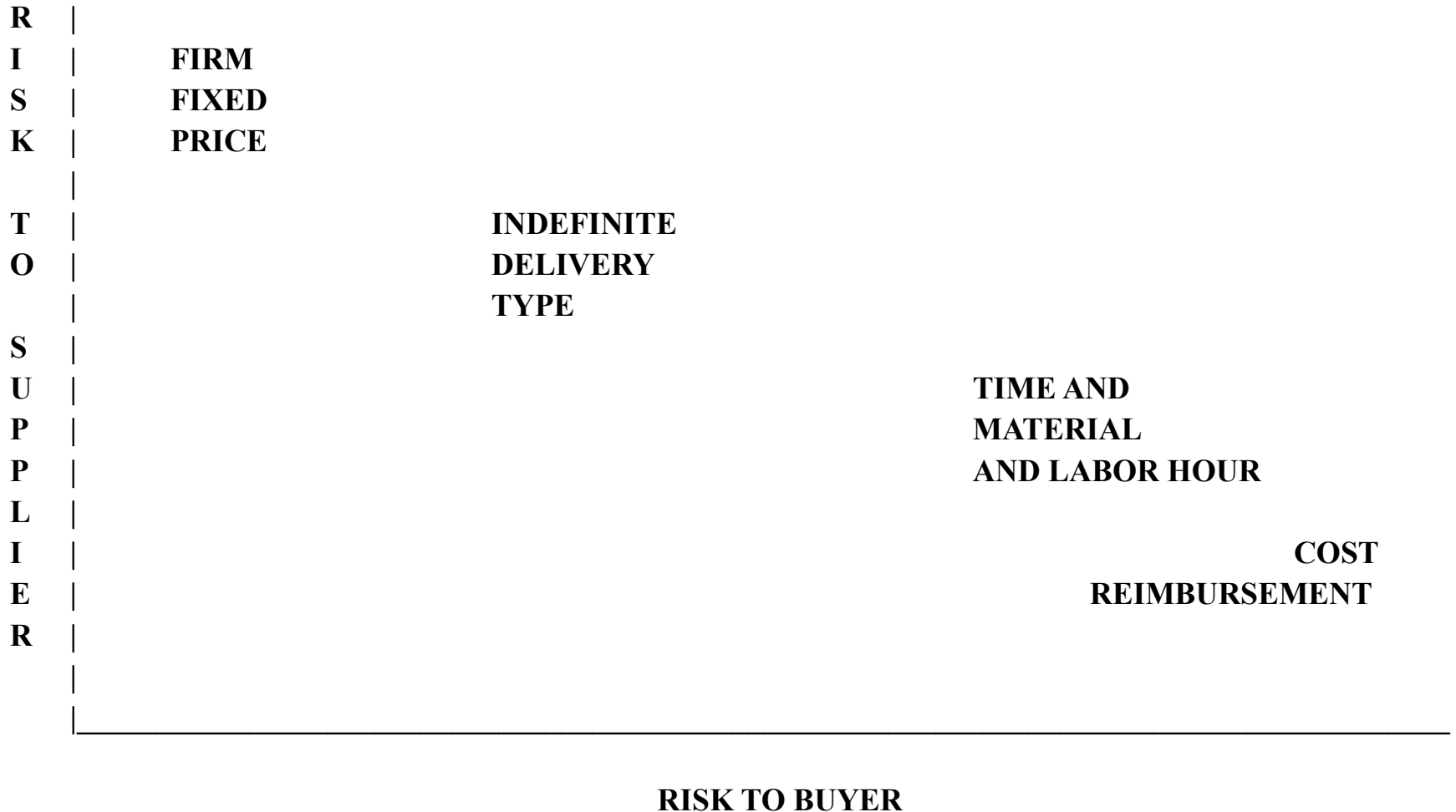
CONTRACT TYPES

- **Flexible Price/Cost Reimbursement:**
 - Cost Reimbursement
 - Cost No Fee/Cost Sharing
 - Cost Plus Fixed Fee
 - Cost Plus Incentive Fee

CONTRACT TYPES

- **Hybrid Contract**
- **Blanket Agreement**
- **Letter of Contract**

Buyer and Supplier Risk



General Rules

- The most common types of contracts used are firm-fixed-price, indefinite-delivery type, and time-and-materials/labor hour (Hybrid)
- Cost Reimbursement Contract mostly used for research and education purpose
- Cost Reimbursement Contract maybe used in Emergency conditions

Firm Fixed Price Contract

- Called “Lump-Sum” Contract
- Price is not subject to any adjustment unless agreed prior the contract issuance
- Supplier GIVEN full risk & responsibility
- Supplier to control costs & performance

Cost Reimbursement Contract

- Suitable only when uncertainties involved in contract performance
- Appropriate for research or preliminary exploration or study
- Payment based on reasonable, allowable, allocable, incurred costs
- Estimate of total cost for obligating funds
- Type of Cost Reimbursement should be spelled out in the contract

Hybrid Contract

- A "HYBRID TYPE" commonly used
- Provides for acquiring supplies or services based on:
 - Direct labor hours
 - Materials at cost
- Implemented when difficult to estimate duration of the work or to anticipate costs
- Commonly used in:
 - Repair and maintenance services
 - Consulting and other professional services

Blanket Agreement

- Blanket Agreement is a method with specific terms and conditions that have been negotiated based on a price list
- Not REALLY a contract under the **Uniform Commercial Code**, may be recognized under the **Convention for International Sale of Goods**

Indefinite Quantity Indefinite Delivery Contract

- Often called “Blanket Order Contracts” or “Open End Contracts”
- Establishes firm fixed unit prices for the units of work
- States a guaranteed minimum quantity to be consumed and a maximum quantity on the contract
- Delivery time must be set or fixed

Letter of Contract

- A written preliminary contractual instrument to authorizes the supplier to begin prepare the services
- The Letter of Contract binding if both Parties signed it
- This is not a work order from a contract
- Their use should be strictly discouraged

Delivery Terms

Typical Domestic Shipments Terms

Buyer side:

- Buyers prefer to specify “Delivered to” (“Franco”) shipment
- Responsibility for transportation, cost and risk **ON THE SUPPLIER**

Seller (Supplier) side:

- Seller prefer to specify “Ex Work” shipment
- Responsibility for transportation, cost and risk **ON THE BUYER**

International Shipments Terms

Incoterms are standard International trade terms define who is responsible for shipping, costs, and risks

Current applicable Incoterms version:
Incoterms 2020

Incoterms

Define:

- The point at which risk passes
- The delivery point
- The division of costs
- The division of functions
- The division of responsibilities.

General Rules

- Documents must refer to Incoterms 2020
- Only 1 (one) Incoterms in a contract
- Always use the 3 letters code
- Always suffix with a named place either origin or destination:
 - CIF Shanghai Port
 - FOB Tanjung Priok

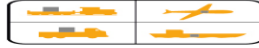
Incoterms 2020: Responsibilities of Parties

	Any Mode		Sea Transport Only				Any Mode				
	EXW	FCA	FAS	FOB	CFR	CIF	CPT	CIP	DAP	DPU	DDP
	Ex-Works	Free Carrier	Free Alongside Ship	Free On Board	Cost and Freight	Cost, Insurance, Freight	Carriage Paid To	Carriage and Insurance Paid	Delivered At Place	Delivered at Place Unloaded	Delivered Duty Paid
Risk transfers when:	Goods placed at buyer's disposal	Goods placed at buyer's disposal	Goods arrive alongside ship	Goods loaded on ship	Goods loaded on ship	Goods loaded on ship	Goods taken in charge by carrier	Goods taken in charge by carrier	Goods arrive at named destination	Goods unloaded at named destination	Goods arrive at named destination
Loading and inland transport	Buyer	Seller	Seller	Seller	Seller	Seller	Seller	Seller	Seller	Seller	Seller
Export taxes, clearance	Buyer	Seller	Seller	Seller	Seller	Seller	Seller	Seller	Seller	Seller	Seller
Unloading of the vehicle in the export port	Buyer	Buyer	Seller	Seller	Seller	Seller	Seller	Seller	Seller	Seller	Seller
Loading fees in export port	Buyer	Buyer	Buyer	Seller	Seller	Seller	Seller	Seller	Seller	Seller	Seller
Main carriage	Buyer	Buyer	Buyer	Buyer	Seller	Seller	Seller	Seller	Seller	Seller	Seller
Unloading fees in import port	Buyer	Buyer	Buyer	Buyer	Buyer	Buyer	Negotiable	Seller	Seller	Seller	Seller
Loading to the transport vehicle in import port	Buyer	Buyer	Buyer	Buyer	Buyer	Buyer	Buyer	Seller	Seller	Seller	Seller
Transport to the delivery address	Buyer	Buyer	Buyer	Buyer	Buyer	Buyer	Buyer	Buyer	Seller	Seller	Seller
Import formalities, duties, fees	Buyer	Buyer	Buyer	Buyer	Buyer	Buyer	Buyer	Buyer	Buyer	Buyer	Seller
Unloading at named destination	Buyer	Buyer	Buyer	Buyer	Buyer	Buyer	Buyer	Buyer	Buyer	Seller	Buyer
Insurance	Negotiable	Negotiable	Negotiable	Negotiable	Negotiable	Seller Clauses (C)	Negotiable	Seller Clauses (A)	Negotiable	Negotiable	Negotiable

RULES FOR ANY MODE OR MODES OF TRANSPORT

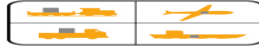
EXW

Ex Works
(Insert named place of delivery)
Incoterms[®] 2020



FCA

Free Carrier
(Insert named place of delivery)
Incoterms[®] 2020



CPT

Carriage Paid to
(Insert named place of destination)
Incoterms[®] 2020



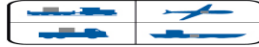
CIP

Carriage and Insurance Paid to
(Insert named place of destination)
Incoterms[®] 2020



DAP

Delivered at Place
(Insert named place of destination)
Incoterms[®] 2020



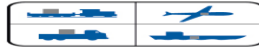
DPU

Delivered at Place Unloaded
(Insert named place of destination)
Incoterms[®] 2020



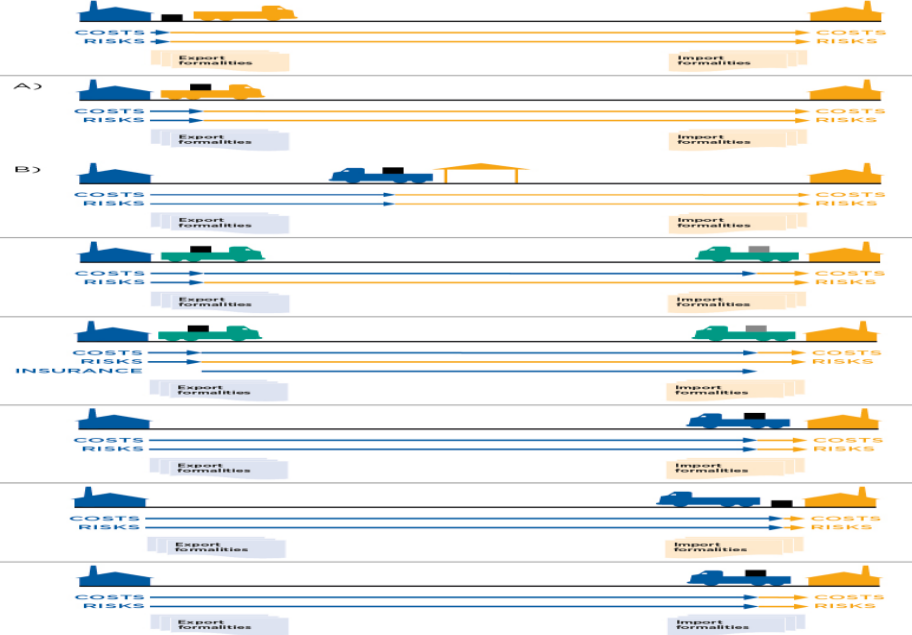
DDP

Delivered Duty Paid
(Insert named place of destination)
Incoterms[®] 2020



Seller

Buyer



RULES FOR SEA AND INLAND WATERWAY TRANSPORT

FAS

Free Alongside Ship
(Insert named port of shipment)
Incoterms[®] 2020



FOB

Free on Board
(Insert named port of shipment)
Incoterms[®] 2020



CFR

Cost and Freight
(Insert named port of destination)
Incoterms[®] 2020



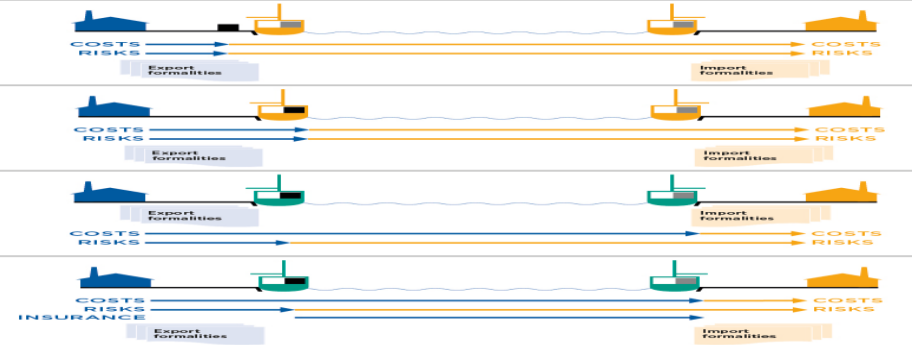
CIF

Cost, Insurance and Freight
(Insert named port of destination)
Incoterms[®] 2020



Seller

Buyer



Incoterms

Group “E”:

- The goods are made available to the buyer at the seller’s premises

Incoterms

Group “F”:

- The seller must deliver the goods to a carrier appointed by the buyer

Incoterms

Group “C”:

- The seller must contract for the carriage of the goods

Incoterms

Group “D”:

- The seller must bear all costs and risks required to bring the goods to the place of destination

Incoterms

Group “D”:

- The seller must bear all costs and risks required to bring the goods to the place of destination

Ethics

Basic Principle

- To achieve long-term success, a company must operate with **high integrity**
- Therefore, must have a **Code of Conduct** to guide leaders and employees in applying the company's values and business ethics

Business Ethics

- Business ethics serve as a guideline for a company in conducting its business activities
- Consistent application of company values and business ethics
- Every company should have a clearly defined set of business ethics

Legal Authority and Personal Liability

- Managers generally have final authority over his/her decisions depend on their level of authority
- It is important to clarify guidelines to ensure the manager is acting within their actual scope of authority.
- If the managers act outside of their scope of authority, they can be held personally liable

Purchasing Ethics

- Ethics: the set of moral principles or values guiding our behavior
- Three rules of ethics buyers & others related to purchasing process must follow:
 - Loyal to the organization
 - Act ethically towards suppliers
 - Uphold ethical standards of the profession

Risk of Unethical Behavior

- Legal risk – Legal penalties could ensue because of unethical behavior
- Personal risk - Employee's professional reputation
- Company risk – Company's reputation

Types of Unethical Behavior

- Reciprocity
- Personal Buying
- Accepting Supplier Favors
- Sharp Practices
- Conflicts of Interest

Standards of Purchasing Practice

- Maximizing value for each dollar expenditure
- Strive to be knowledgeable of the materials and processes
- Work for honesty and truth in buying and selling
- Prompt and courteous reception

Standards of Purchasing Practice

- Respect your obligations
- Avoid sharp practices
- Help fellow purchasing managers or teams in performing their duties.
- Cooperate with all efforts to enhance the development and standing of purchasing.

Supporting Ethical Behavior

- Developing a Statement of Ethics
- Top Management Commitment
- Closer Buyer-Seller Relationship
- Ethical Training
- Developing Consistent Behavior
- Internal Reporting of Unethical Behavior
- Preventive Measures

End of Slides